

- ⁴ Distributors are brokers and agents who sell a mutual fund scheme to the investor and in return get commissions from the fund house. Amongst the top distributors in India are NJ Wealth, HDFC Bank and IIFL Wealth Management.
- ⁵ To this day, mutual funds are offered in two variants—open and closed-ended. Open-ended funds allow investors to enter and exit anytime. There may be exit loads applicable, but the investor has the option to exit any day at the prevailing net asset value (NAV). Closed-ended funds, on the other hand, are typically new offerings which give back money at the end of the tenor. Investors cannot redeem the fund in between at the prevailing NAV. Since SEBI mandates that all closed-ended funds be listed, technically the investor can sell the fund in the exchange for exit. However, liquidity (the number of available buyers and sellers on exchange) is typically absent for such funds (i.e. there are very few buyers and sellers of closed-ended funds) unless a distributor or the investor can get a prospective buyer himself. A Fixed Maturity Plan (FMP) is an example of a closed-ended fund.
- ⁶ Assets under Management (AUM) is the sum total of all monies invested across asset classes and managed by the Mutual Fund whereas equity assets under management refers to that portion of AUM which is invested in stocks.
- ⁷ Price Earnings ratio is the ratio of a company's current share price to its earnings per share.
- ⁸ BSE 100 is an index designed to measure the performance of the 100 largest and most liquid Indian companies within the S&P BSE large mid-cap.
- ⁹ Average return is the simple mathematical average returns of a series of returns generated over a period of time.
- ¹⁰ Median return is the middle number return in a sorted list of returns.
- ¹¹ Standard Deviation is a measure of volatility. Mathematically speaking it is the dispersion of a set of data from its mean.
- ¹² Rolling returns are fixed period returns calculated at predetermined frequency, e.g. five- or ten-year returns calculated on a daily basis.
- ¹³ Upfront commission is the commission paid to the broker or mutual fund distributor at the time the customer purchases the mutual fund investment for the first time. Upfronting of trail commission is when the mutual fund pays the distributor the trail commission of a future date at the time of the first purchase of the mutual fund.